

No. of Printed Pages : 4
Roll No.

226746-C

4th Semester/ DBM Retail, DBM HRM
Subject : Principles of Cost Accounting

Time : 3 Hrs.

M.M. : 60

SECTION-A

Note: Multiple choice questions. All questions are compulsory (6x1=6)

- Q.1 EOQ is a model that balances:
- a) Selling price and cost price
 - b) Ordering cost and holding cost
 - c) Employee wages and productivity
 - d) Revenue and expenses
- Q.2 FIFO is commonly used in:
- a) Periods of deflation
 - b) Times of inflation
 - c) Stable price periods
 - d) No inventory system uses FIFO
- Q.3 Which of the following is a variable cost?
- a) Rent
 - b) Insurance
 - c) Raw materials
 - d) Depreciation

Q.4 FIFO is generally used for products that:

- a) Have a long shelf life
- b) Expire quickly
- c) Are expensive
- d) Are rare

Q.5 Which of the following is a direct cost?

- a) Factory rent
- b) Supervisor salary
- c) Material cost for a product
- d) Office utilities

Q.6 Idle time is generally considered a:

- a) Cost
- b) Profit
- c) Investment
- d) Revenue

SECTION-B

Note: Objective/ Completion type questions. All questions are compulsory. (6x1=6)

Q.7 EOQ helps in determining the maximum quantity of inventory to be ordered. (True/False)

Q.8 At the break-even point, there is neither a profit nor a loss. (True/False)

Q.9 Idle time is considered productive time in business. (True/False)

Q.10 Bonus payments are made for extra work or achieving targets. (True/False)

Q.11 FIFO is a commonly used inventory management method. (True/False)

Q.12 Semi-variable costs are completely fixed. (True/False)

SECTION-C

Note: Short answer type questions. Attempt any eight questions out of ten questions. (8x4=32)

Q.13 Explain LIFO method with an example.

Q.14 Explain the concept of centralised purchasing

Q.15 How idle time affect an organisation?

Q.16 Write the elements of cost

Q.17 Explain the term profit on sales and contribution

Q.18 Write the importance of cost accounting

Q.19 Explain marginal costing with an example.

Q.20 Write 4 factor of labour turnover costing.

Q.21 Give 4 objectives of budgetary control.

Q.22 What is the process of issue of material?

SECTION-D

Note: Long answer type questions. Attempt any two questions out of three questions. (2x8=16)

Q.23 Explain the various levels of inventory in cost accounting?

Q.24 Explain the various techniques used under costing.

Q.25 Provide the meaning and calculation of break even point with the help of an example